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MBAG – 304

Security Analysis & Portfolio Management

Fundamental Analysis

Apollo Hospital Enterprise Limited

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Executive Summary

The report below presents a fundamental analysis of Apollo Hospitals Enterprise Ltd (AHEL) to determine its suitability in an investment portfolio. The analysis is given based on the parameters of: -

- Medium Risk Tolerance
- Investment Horizon of 5 years
- Primary objective is capital appreciation
- ROI of 3% above average NIFTY returns.

Investment Recommendation

Based on an analysis covering various parameters, a **BUY** recommendation is issued for the company to the investor. The company is positioned at the intersection of a resilient, high growth industry wherein investors have high prospects of the industry. The company has a strong opportunity to provide compelling long-term value for the shareholders.

Qualitative Analysis

Economy Analysis (Country Analysis)

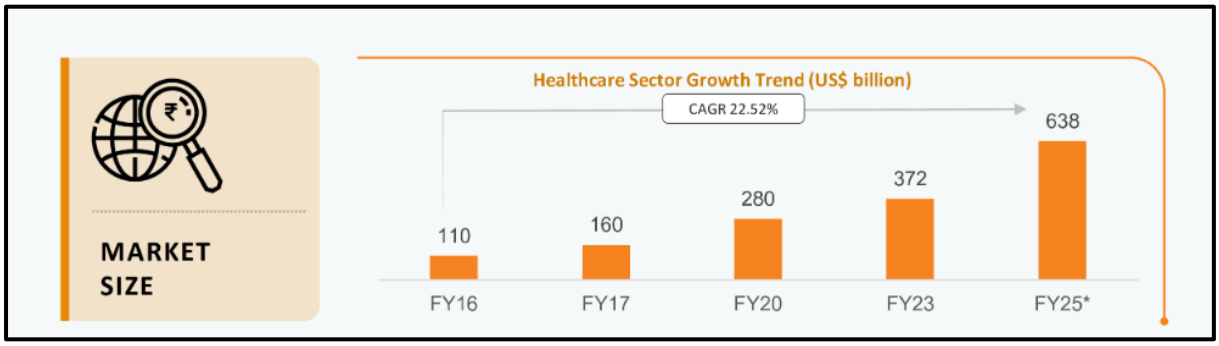
India is currently a growing economy. The current economic situation in India is such that the GDP growth is robust, with a strong domestic demand and government spending on infrastructure. Thus, there is a positive outlook for the Indian Industries.

Industry Analysis

The Indian healthcare industry is currently one of the major investment areas with a long-term horizon.

Market Size and Growth

The Indian hospital sector had a CAGR of 22.5% in the last 5 years. It is expected to grow at a CAGR of 11% by FY27.(IBEF, 2025)



The Indian healthcare industry is in the **Growth Stage**, characterized by rapid expansion, increasing investment and rising public awareness.

Porter's 5 Forces Analysis

1. **Threat of New Entrants:** Moderate to High → High Capital expenditure for hospitals, regulatory approvals and the need for skilled surgeons and medical professionals.
2. **Bargaining power of buyers:** Moderate → Patients have choices in urban areas, and certain established brand names limit the power of less-branded ones.
3. **Bargaining power of suppliers:** Moderate to High → Specialized medical equipment, pharmaceuticals, etc., hold considerable power.
4. **Threat of substitutes:** Low → For critical care, there are no good viable substitutes that can provide good treatment.
5. **Rivalry among competitors:** High → Highly clustered with few players dominating the market, with intense competition among the key players.

Key Growth Drivers

- **Strong Demand:** Demand for healthcare professionals is expected to double nationally and globally by 2030 (currently only 1.7 nurses per 1000 people, doctor-to-patient ratio of 1:1,500 nationwide).
- **Government Support:** Public expenditure on healthcare is expected to be 1.9% of GDP in FY26. The government announced Rs. 9,406 crores for the PMJAY scheme.
- **FDI inflows:** Inflows stood at $ 11.82 billion and $ 3.9 billion for hospitals and diagnostic centres, respectively, between April 2000 and March 2025. FDI inflow into the drugs and pharmaceutical sector stood at $27.13 billion.
- **Rising Insurance Awareness:** Health insurance gross direct premium income rose to $ 4.39 billion in March 2025 from $ 3.79 billion, showing strong growth YoY.
- **Digital Healthcare:** Valued at $ 8,794.4 million in 2024, expected to reach $ 47,806.9 million by 2033, CAGR of 17.67% from 2025 to 2033. As of January 20, 2025, 36 States/UTs have set up 53 Tele MANAS Cells.
- **Medical Value Travel:** There is a dramatic increase in medical tourism, with foreign tourist arrivals for treatments surging to almost 650,000 in 2024 (close to 6.87% of total international tourists who visited the nation). With a size of $ 5 – $ 6 billion in Medical Value Travel and an annual influx of 500,000 international patients, India is among the global leaders in destinations for international patient care.

The influx of international patients provides a significant tailwind for leading hospital chains. Thus, they provide a richer mix to **Average Revenue per occupied bed**. Moreover, there is a structural shift in demand from the unorganized sector to the organized sector, which comprises certain branded healthcare providers. As a result, market leaders such as Apollo, Max Healthcare, and Fortis Healthcare are positioned to grow faster than the overall industry.

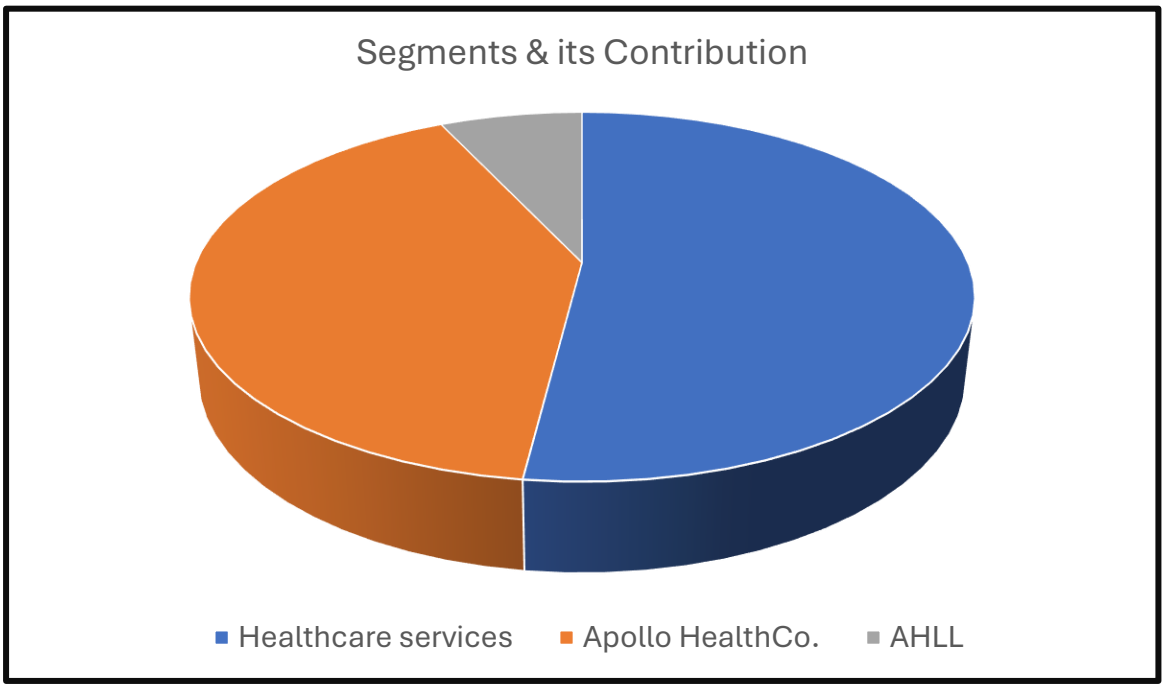
Company Analysis

About the company

It was established in 1983 by Dr. Prathap C Reddy, a renowned architect of modern healthcare in India. AHEL is known to be the nation's first corporate hospital; it is acclaimed for the private healthcare revolution in the country. (Screener, 2025)

Business Model

1. **Healthcare Services (Hospitals):** Foundational pillar of the business, contributes approximately. 52% of the revenue. This segment focuses on providing high-end care. It has a capacity of 10,134 beds in 73 hospitals, out of which 8,709 beds are in 45 owned hospitals, 639 beds in Day surgery & cradles and 790 beds in 6 hospitals under management through operations and management contracts. (Screener, 2025)
2. **Apollo HealthCo. (Digital Health & Pharmacy Distribution):** This segment contributes to 41% of AHEL's revenue. It operates across 22 states and 5 Union territories, with a presence in 1,200 cities and towns. It combines two verticals – Apollo Pharmacy (with over 6,000 stores), whose sales contribute to 18% of total revenue, and Apollo 24/7 (a Platform offering telehealth, online medicine delivery, etc.), with an active daily user base of 7.71 lakhs and over 36M registered users. (Screener, 2025)
3. **Apollo Health and Lifestyle (AHLL – Diagnostics & Retail Health):** The WOS Apollo Health & Lifestyle operates 2,203 diagnostics centres, 133 dialysis centres, 183 dental centres, and 264 clinics. As of H1 FY25, the segment has a footfall of 20,628 per day and an average gross realisation per patient of Rs. 1,943. (Screener, 2025)



Operational Metrics

Metric	FY25	FY24	FY22
Bed Occupancy Rate	70%	65%	63%
In Patient Volume (Lakhs)	3	5.7	4.6
Outpatient Volume (Lakhs)	10.86	19.22	25.14
ARPOB (Rs.)	59,053	57,488	45,327
Average Length of Stay (Days)	3.34	3.30	3.96

(Screener, 2025)

Geographic Presence

The enterprise has a pan–India presence, with its hospital network spreading across the country. The Apollo network is one of the largest hospital chains in India, with over 6,000 stores across 23 states and 4 union territories, enabling it to achieve a deep market penetration.

Corporate Governance & Board Structure

There is a mix of executive directors (from the founding family) and independent directors, ensuring a balance between promoter vision and independent oversight. The core skills of individual directors are extensive and are also detailed in the company's annual report. The company has outlined clear rules and procedures for aspects that form part of its Corporate Governance, such as insider trading, Board Meetings, and Information availability to board members.

Prominent Independent Directors include: -

- MBN Rao – Expertise in Banking & Finance
- Ms. Rama Bijapukar – Expertise in Business Strategy and Consumer Markets
- Dr. Murali Doraiswamy – Expertise in Global Medicine and Digital Health.

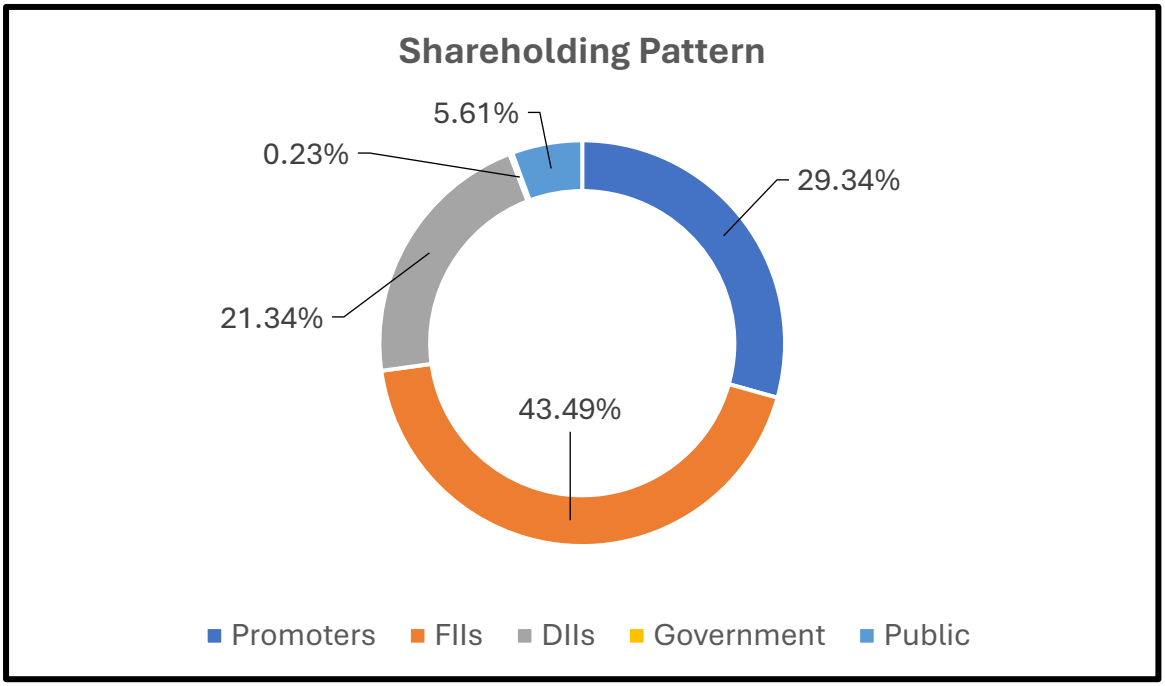
(Apollo Hospital Enterprise Limited, 2025)

Management Team & Quality

The company has a governance structure led by its founder, Dr. Prathap C. Reddy, with 40+ years of healthcare expertise. His four daughters – Dr. Preetha Reddy, Dr. Suneeta Reddy, Ms. Shobana Kamineni, and Dr. Sangeeta Reddy – hold key executive roles and lead different verticals of the company. The management team comprises a blend of experienced founding family members and seasoned industry professionals, offering both stability and modern operational excellence. There is a strong track record of execution; their focus lies on strategic expansion, with a commitment to delivering clinical excellence, patient centricity, and operational efficiency.

(Apollo Hospital Enterprise Limited, 2025)

Shareholding Pattern



(Screener, 2025)

The large shareholding by FIIs shows that there are good prospects for the company. Foreign investors have a positive outlook for the company's future performance. Similarly, the next large shareholding by the promoter indicates that there is confidence among the promoters regarding the business's future as well.

But there is a concern – Promoter Suneeta Reddy offloads 1.3% stake worth 1,489 crores through a block deal price of Rs. 7,850 per share.

Company's Assessment of its Business & its Future

Over the past few years, management has emphasized its goal of expanding into growing pharmacy, diagnostics, and digital health platforms. The company has consistently forecasted the growth of the pharmacy and diagnostic network (like the launch and subsequent scaling of the *Apollo 24/7* digital platform). The management has spoken on investment in robotic surgery, advanced cancer care, and AI in diagnostics.

The review of Chairman's Letters and Board Report over the past few years reveals that the management team is consistent, with a long-term vision for the business that is not deviated from their strategies; and it is credible and accurate, with an attitude of walking the talk – delivering on the initiatives they communicate to shareholders.

In the company's annual report and investor presentation, the management has highlighted a positive outlook for the Indian healthcare sector. They identify key growth drivers such as the rising middle class, increasing insurance penetration and the growing burden of lifestyle diseases. For instance, in the annual report of FY24, the chairman has highlighted: -

- Addition of 2000+ high-quality beds in key geographies over the next 3 years.
- Digital Health: Scaling up the digital platform by introducing "Apollo Connect" to the platform.
- Collaboration with nursing homes across the country (a great initiative considering the rise in old age people in nursing homes).

(Apollo Hospital Enterprise Limited, 2025)

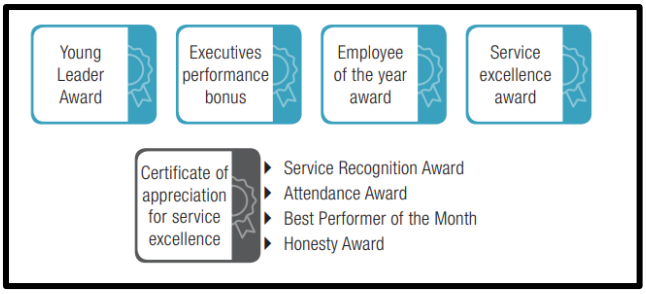
Stakeholder Satisfaction

Customers (Patients)

Apollo has established formal chains for patient feedback. Active tracking of metrics, such as **Net Promoter Score** (with a score of **84 out of 100**, according to their 2024 ESG report), suggests that they have high customer loyalty and satisfaction. Also, there is a high level of brand trust.

One area of concern is that it's a premium nature of service offering, indicating that a large segment of the Indian population finds it cost-prohibitive.

Employees (Doctors, Nurses and Staff)



The company consistently tries to recognize and reward its individual contributors.

The following are some key highlights about employee compensation: -

- High Employee Turnover Rate – There was an increase in employee turnover rate (refer to the line chart beside), especially in nursing and paramedical staff. Possible reasons include:
  - High Workloads and extended shifts
  - Comparatively low salary payout for junior and mid-level staff.
- Median Salary increase, as well as employee turnover rate, signals a cause for concern for the company. If continued, it can have an impact on the delivery of quality services by the staff who are handling patients face-to-face daily (nurses and paramedical staff)

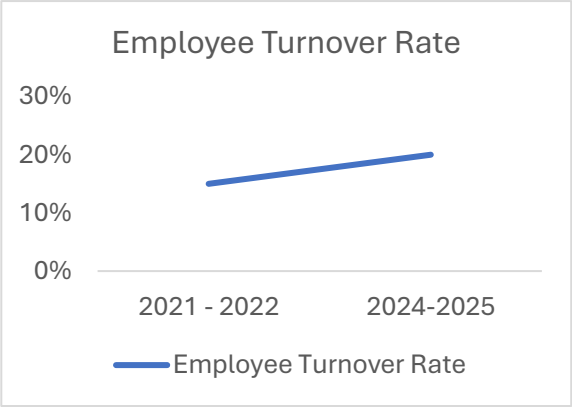
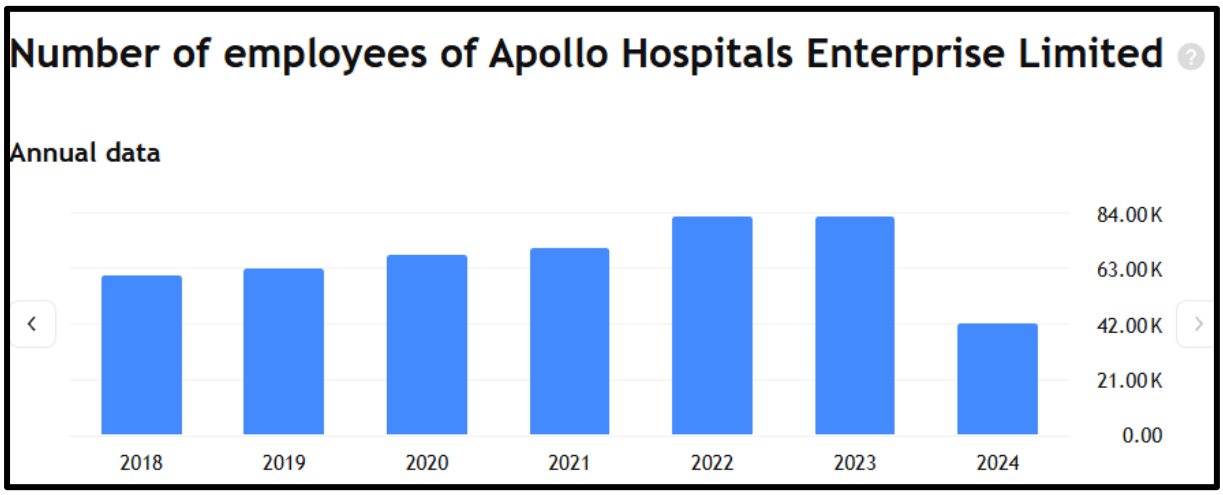


Figure 1: AHEL Employee Turnover Rate -Source - GEN AI

- The HR team of the company is taking various initiatives to tackle this issue.

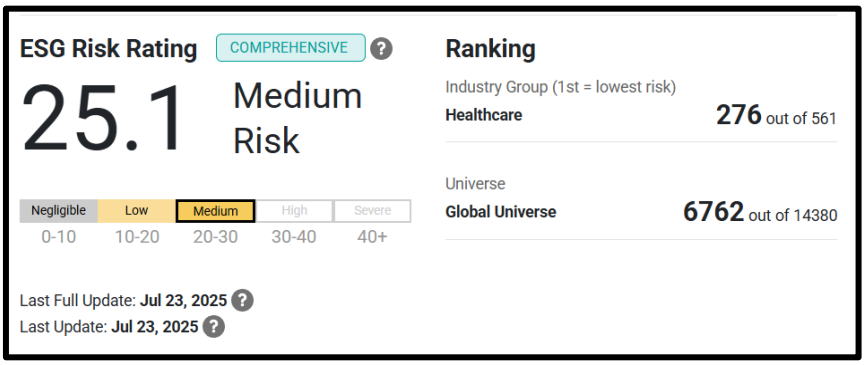


(Trading View, 2025)

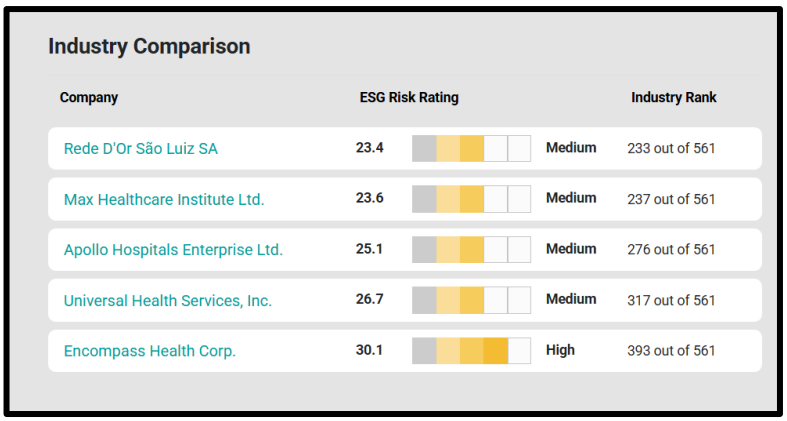
Additional Qualitative Analysis

- There have been no reports of overdue principal repayments or interest defaults by the company. CRISIL has rated AHEL AA+, with a stable outlook (as of July 09, 2025).
- The launch of the National Digital Health Mission and Digital Health Initiatives is a strong driver for Apollo 24/7.
- Tightened price caps on essential medical procedures and diagnostics can negatively impact the company's margin.
- Apollo allocates 2% of its average net profit from the past 3 years towards CSR.
- The company's ESG ratings are thus:
  - The company ranks "**Average**" in the aspect of it is managing its relevant ESG issues.
- The company stands at par with its competitors in terms of its ESG ratings.

Figure 2: AHEL ESG Rating - Source: SustainAnalytics



(SustainAnalytics, 2025)



Industry Comparison

Company	ESG Risk Rating		Industry Rank
Rede D'Or São Luiz SA	23.4	Medium	233 out of 561
Max Healthcare Institute Ltd.	23.6	Medium	237 out of 561
Apollo Hospitals Enterprise Ltd.	25.1	Medium	276 out of 561
Universal Health Services, Inc.	26.7	Medium	317 out of 561
Encompass Health Corp.	30.1	High	393 out of 561

Figure 3: ESG Rating Comparison of Indian Healthcare Sector - Source: SustainAnalytics

(SustainAnalytics, 2025)

Competitor Analysis

The Indian hospital market is dominated by a few large, organized players, followed by a long tail of smaller, fragmented providers. With an accelerating consolidation in the sector, the industry is achieving its long-term value proposition, driven by global PEs' investments into the industry. Being the market leader by revenue and bed capacity, the company enjoys significant economies of scale and pricing power.

Table: Peer Comparison and Relative Valuation Matrix

Metric	Apollo Hospitals	Max Healthcare	Fortis Healthcare	Narayana Hrudayalaya
Market Cap (₹ Cr)	1,13,913	1,20,041	70,543	37,065
Revenue (TTM, ₹ Cr)	22,551	7,513	8,091	5,717
Net Profit (TTM, ₹ Cr)	1,631	1,148	902	786
ROE (%)	18.4%	12.7%	10.1%	24.2%
ROCE (%)	16.6%	14.9%	12.0%	20.8%
Debt-to-Equity (x)	0.96	0.32	0.28	0.67
P/E Ratio (TTM, x)	69.5	93.6	74.8	45.3
P/B Ratio (x)	13.3	12.0	7.72	9.88

Competitive Moat

AHEL's competitive advantage is derived from certain key factors: -

- Brand Equity: Pioneer in the private healthcare revolution in India, the name has become synonymous with high-quality and reliable medical care. This brand name has become a

reliable intangible asset for the company, fostering increased patient trust for over 40 years since its establishment.

- Entry Barriers: With a prominent and successful operation over the years, the company has built sufficient entry barriers to protect itself from new entrants: -
  - High Capital Investment
  - Brand & clinical trust
  - Network & Scale
- Strong Balance Sheet with low leverage and strong cash flow generation.
- Market leader in terms of bed capacity

Financial Performance

Reference: Google Sheets: Modified Screener Data (Screener, 2025)

Growth Trajectory Analysis

This section aims to examine the company's financial performance over the past 5 years. The analysis will focus on growth, profitability, solvency, and efficiency.

There has been a significant increase in Revenue, Net Profit, and EPS over the years. However, there was a dip in 2021 because of COVID, which impacted every business. Nonetheless, the company's ability to grow significantly in the next year, which is expected to be much higher than in the year of the COVID onset, is a good indicator.

Taking a deep dive into certain line items from both the Income Statement and the Balance Sheet, the following observations are critically identified: -

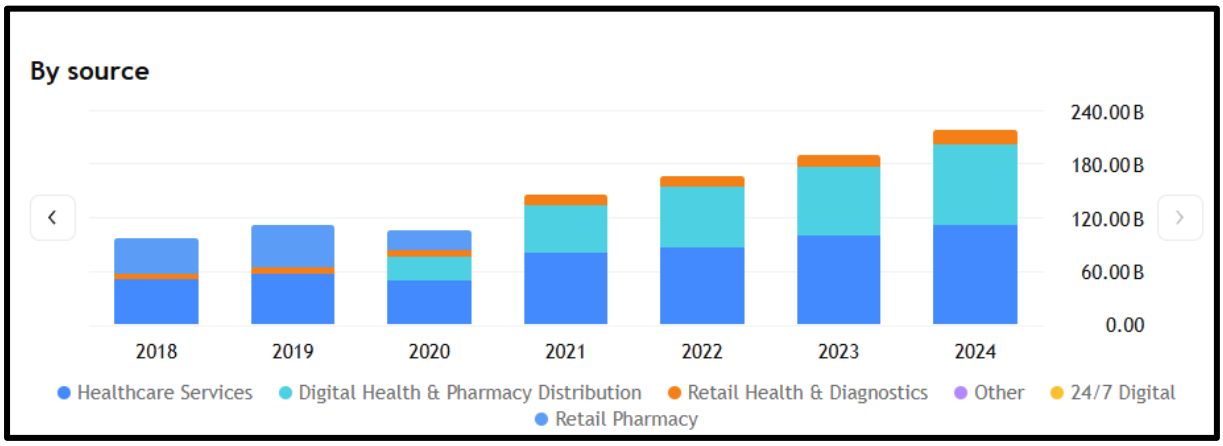
- **Revenue Growth:** AHEL's top-line performance shows a strong and resilient market position. FY21 saw a dip in sales by 6.1% due to COVID-19 due to the postponement of non–essential elective surgeries. However, there was a rebound in FY22, with a 38% growth to get back to its pre-pandemic position and from there on a stable growth YoY at 14%.
- **Profitability & EPS Growth:** Net Profit and EPS show volatility, due to underlying operational challenges and investments during this period (reflected in the form of higher depreciations). Profit decline in FY21 by 66% and EPS by 68% is a result of the pandemic. One point of concern is that during FY23, the YoY growth fell by 22.4% (possibly due to expansion costs for the digital health business of the company). However, this was only a temporary phase as the YoY growth picked up again in the next year.

Segmental Performance Review

Healthcare Services: The core hospital business is still a bedrock for the company. This segment's revenue grew by a healthy 14% YoY. It is the primary profit generator, with an EBITDA margin of 23.9%.

Apollo HealthCo: A primary driver of topline growth, its revenue expanding by 17% YoY in FY24. However, due to substantial investments in technology, marketing and customer acquisition, it reported a PAT loss of Rs. 196 crores in FY24

AHLL (Diagnostics & Retail Health): The segment is showing strong signs of operating leverage. In FY24, its revenue grew by 11% YoY, which turned EBITDA positive, contributing to 117 crores.



(Trading View, 2025)

Ratio Analysis

Insights derived from key financial ratios calculated over the period of FY 2021 to FY 2025 are shown below: -

- **Profitability & Return Ratios**:
  - ***Margins***: The Net Margin trend illustrates the impact of strategic investments. After recovering to a healthy 7% in FY22, the margin has compressed to 5% in FY24. This is in direct relation to the expenses incurred for the HealthCo segment expansion.
  - ***Return Ratios***: ROE and ROCE are key indicators of how efficiently the company is using its capital to generate profits. For AHEl, both the ratios are stable between 15% - 18%, which is also at par with the industry average.
- **Solvency & Liquidity Analysis**
  - ***Debt to Equity Ratio***: AHEL's Balance Sheet is exceptionally strong. The company has deleveraged over the years, improving its condition from 1.0x to 0.5x by FY25. This low level of debt provides a significant cushion against economic conditions
  - ***Interest Coverage Ratio***: The company has a robust position to service its debt. It has a healthy ICR of 7.0x in FY2025, meaning its operating profit is 7 times its interest expense, indicating a strong solvency position.
  - ***Current Ratio***: This ratio has increased from 1.1 in FY20 to 1.5 in FY25. This ratio indicates that AHEL has sufficient current assets to cover its current liabilities
- **Efficiency Analysis:**

- ***Inventory:*** It has increased from 15.24x in FY20 to 45.33x in FY25. This suggests that money is stuck in stocking high – value medical equipment or pharmaceuticals to meet growing patient demand. However, this requires monitoring to avoid overstocking.
- ***Receivables Turnover:*** The increasing ratio suggests potential delays in collection, possibly from insurance companies or government schemes, which can impact cash flows.

Valuation & Market Performance

Historical Performance vs. NIFTY 50

Past stock price performance provides a context for market perception. Over the last 5 years, AHEL's stock has delivered a return of **360.15%;** i.e., the stock price grew at a **CAGR of 22%**. In contrast, NIFTY 50 has delivered a **5-year CAGR** of **16.9%.** Clearly, the stock **outperformed** the index, recognizing AHEL's superior growth profile and leadership position.

Relative Valuation

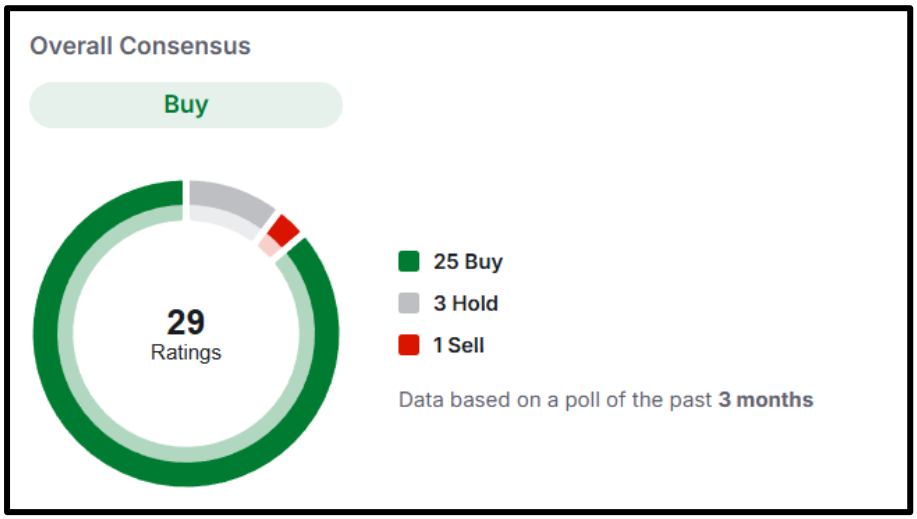
Price to Earnings Ratio: AHEL has a **TTM PE Ratio of 70.72x**. This is a sign of premium valuation, higher than average of the healthcare industry which hangs around **63x**. A comparison with its peer, **Max Healthcare**, trading at a **PE of 93.6x**, **Fortis Healthcare**, trading at a **PE of 74.8**, suggests that the market has assigned a **premium valuation** to this industry, due to its growing dependency and strong growth prospects. Thus, PE ratio of AHEL is not an outlier in this aspect.

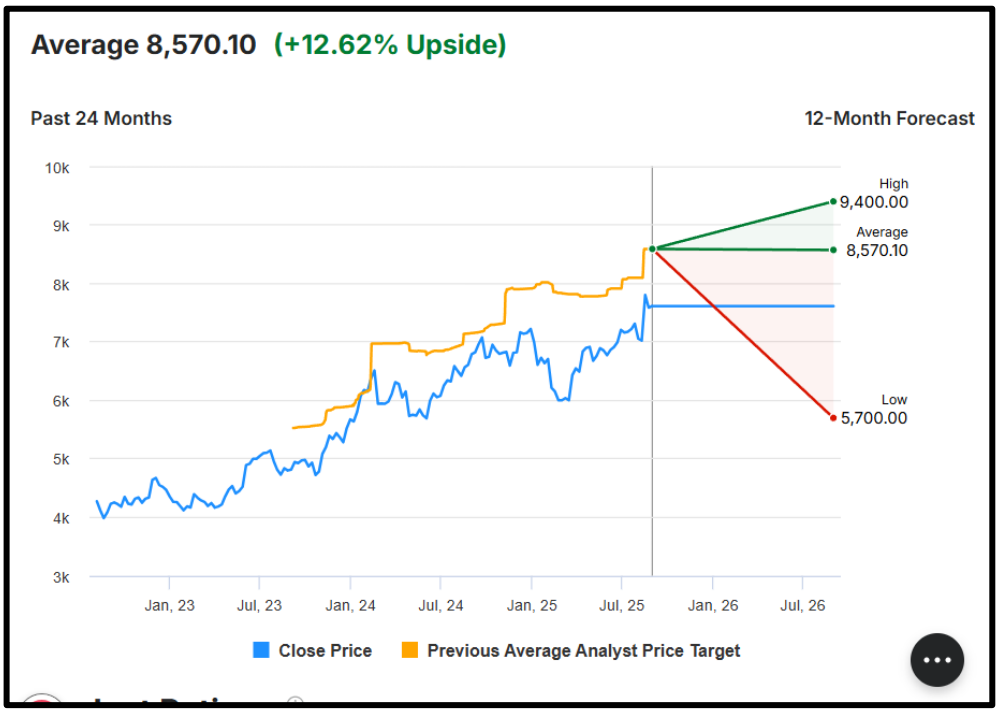
For instance, the high PE is based on the investor's expectation that AHEL will fulfill the Rs. 8000 crore capex plans, increase capacity to 4300 beds in the next 3 to 5 years, thereby achieving the targeted growth and synergies with Apollo HealthCo and pharmacy business.

Price to Book Ratio: The stock is trading at a P/B Ratio of ~13.3x, indicating high market expectations for future growth and substantial value of its intangible assets, particularly its powerful brand equity.

Future Outlook

A survey of around 29 equity analysts reveals that a vast majority have a "Buy" recommendation for this stock. *(Trading View, 2025)*





Various analyst firms have suggested the firm's financials will grow at a CAGR of 15% - 21%. For instance, ICICI Direct has suggested the following estimates: -

Metric	FY 2026E	FY2027E	2 Year CAGR
Revenue	25,087	29,042	15.4%
EBITDA	3,786	4,536	22.5%
PAT	1,923	2,443	27.4%
EPS	133.6	169.6	29.5%

(ICICI Securities, 2025)

The average 12–month price target from these analysts is between Rs. 8,600 to Rs. 9,010, suggesting a potential upside 10% to 15% from the current market price.

Key Risk Considerations

Investors should remain vigilant despite positive outlook:

1. **Execution Risk**: Though the growth prospects are good, it entails execution risk. Any significant cost overruns or time overruns could negatively impact projected returns on capital and impact PE.
2. **Margin dilution**: Healthcare industry is such that revenue generated from additional facilities have a longer time to breakeven. Therefore, these new facilities can lead to dilution of margin in the short term.
3. **Competition**: Being extremely competitive, the digital health landscape brings with it set of hurdles due to upcoming well-funded startups. This could potentially delay the profitability of the Apollo 24/7.

Investment Recommendation

This fundamental analysis reveals that AHEL is fundamentally strong company with robust long-term outlook. Its qualitative strengths create a deep and defensible competitive advantage with its business model and operations. Complemented by strong financials, they represent strong growth prospects, with significant value creation potential for its shareholders.

The analysis, reveals that the investment can and will exceed the targeted return of 3% over NIFTY 50's CAGR over the next 5 years. The investment is well suited for moderate risk appetite investors, aiming for capital appreciation (as evident by price growth and lower dividend payout ratio).

Therefore, the investment in Apollo Enterprise Hospital Limited is recommended to Buy for Long Term Capital Appreciation. Only one concern area for the investor is the high valuation, which however reflects strong investor confidence for the company's future. Its failure to deliver it, can have a negative impact on the PE and EPS.

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